

Risk Assessment Form

Client: _____

Nationality: _____

Product /Service: _____

Overall risk assessment Level:

Additional information for this risk assessment result (if any):

Level of Due Diligent (SDD/CDD/EDD) (Note 1)

Submit Suspicious Transaction Report (STR) to MLRO is required?

Required CE/Senior Management's approval:

Full Name of Technical Representative

*Check with DD report _____

Prepared and signed by: _____

Full Name of Approver (IF applicable) _____

Approved and signed by: _____

Date: _____

Note 1: If the overall risk result is **Reject&STR**, the responsible staff needs to **file STR** and send to MLRO (Amy Chong) ASAP.

Please refer to Portal (Compliance) for the STR report template

Please refer to the DD system to check the sanctioned countries, terrorist , and high risk countries and negative news result

Detailed Risk Assessment:

Ref.	Nature	Risk Assessment	Yes/No	Risk level
1	Client	Is the Customer (Corporate) a government body / licensed/listed entity?		
2	Client	A - Is the Customer(insured person)/ its close associates (e.g. spouse, children or close business associate)/beneficiary/beneficial owner is a PEP政治人物 ? B - Have you provided the DD report財務調查報告 to support your assessment?		
3	Client	Is the Customer (insured person)/its close associates/beneficiary/beneficial owners being a person with prominent public functions or social status who are NOT PEPs 知名人士但又不是政治人物		
4	Client	Does this Customer (insured person)/beneficiary/beneficial owners being or use asset-holding vehicles BVI 英屬維爾京群島 companies		
5	Client	Does this Customer (insured person) being or use offshore 离岸 accounts;		
6	Client	Does this Customer (insured person) being or use asset-holding vehicles such as (1) partnership合夥; (2) unlimited company 无限责任公司 (3) bearer shares 不记名股票?		
7	Client	Is this Customer (insured person)/beneficiary/beneficial owners being a Trust 受託?		
8	Geography	A - Is the Customer(insured person)/ its close associates (e.g. spouse, children or close business associate)/beneficiary/beneficial owner or its business come from high-risk countries 高风险, terrorist 恐怖分子 or sanctions 被制裁 countries ? B - Have you provided the DD report to support your assessment?		
9	Geography	Is the Customer(insured person)/ its close associates (e.g. spouse, children or close business associate)/beneficiary/beneficial owner whose occupation or whose business relates to high-risk industries (e.g. car dealers, gambling industries, diamond dealers, moneylenders, pawnbrokers, cash-intensive businesses etc.)		
10	Geography	Is the countries from /to which the source of fund and/or wealth (资金或财富来源) is transferred, relates to sactioned/terrorist/high risk countries?		
11	Product Service or Delivery channel	Do you think the Customer have the needs (购买需要) to purchase this insurance plan?		
12	Product Service or Delivery channel	Have you done your CDD with the client face-to-face 面谈?		
13	Product Service or Delivery channel	Does this product involve investment linked 投資掛鉤 products?		
14	Transaction	Do you aware of any suspicious 可疑 source of fund?		
15	Transaction*	Is there any unusual 可疑/不正常 payment method 付款方式 (including 3rd party payment or cash transactions) , unusual payment pattern (付款模式) or payment value (付款金额)		
16	Transaction**	Is the product's benefits 得益 are transferred to apparenetly unrelated 3rd parties 无关的第三方		

* For the overall risk level, take the highest risk level of the risk assessment.

** For on-going review, responsible staff needs to review the transaction patterns of the clients and assess if the product's benefits are transferred to apparently unrelated 3rd parties.

Explanation:**Product, services and delivery channel:**

You must assess all your products, services and delivery channels to determine if they pose a high ML/TF risk.

Red flags:

- 1 - Unable to identify the product needs of the customer
- 2- offering products and services by non-face-to-face means. These delivery channels may pose higher risk.
- 3- the use of intermediate corporate vehicles or other structures that have no apparent rationale or result in a lack of transparency. The use of such vehicles or structure without an acceptable explanation increases the risk.
- 4- when a third party identifies clients on your behalf, this may pose higher risk since they may not be properly following policies and procedures to identify clients.

Geography

You must assess the geography of followings (whether high ML/TF risk - ie. Sanctioned countries, high ML/TF and non-cooperative jurisdictions per FATF/United Nations, terrorist related)

Red flags:

- 1, the place of birth and/or nationality and/or residency of the client, its close associates (e.g. spouse, children or close business associate)/beneficiary/beneficial owner)
- 2, the business operation of the client and its close associates
- 3, the countries from which the source of fund and/or wealth is transferred from
- 4, travelling records of the client , its close associates /beneficiary/beneficiary owner

Client

You must assess the ML/TF risk of the client, its close associates/beneficiary/beneficial owner of the followings:

Red flags:

1. the occupation /business nature of the client/its close associates
- 2, the source of fund and wealth (for high risk customers)
- 3, the background search result of the client/close associates/beneficiary/beneficial owners e.g. PEP, watch list, negative news, sanction and terrorist related
- 4 , the verification result of all the required identification documents.
- 5, the client's investment in insurance products disproportional to their economic profile

Transaction:

You must assess transactions of the client for the ML/TF risk:

Red flags:

- 1, any frequent and unexplained movement of accounts, policies, contracts or funds
- 2, any unusual payment methods, payment frequency or payment value
- 3, the product's benefits are transferred to apparently unrelated 3rd parties
- 4, Suspicious cash payment is used
- 5, Suspicious 3rd parties (e.g. unrelated persons) are involved in paying the premium or involved in the policy
- 6, a premium is overpaid and the surplus is directly to a third party

Other factors

Red flags:

- 1 - Clients making decisions with no apparent economic purpose
- 2 - purchase products focusing on early termination features, rather than benefits
- 3 - accepting unfavourable policy or contract provision or riders.